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REPORT ON
EQUITY VALUATION
INDIAN FMCG COMPANIES

COURSE INSTRUCTOR

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1 Key Analytical Assumptions, Data Limitations, and Valuation Framework

1.1 Methodological Assumptions and Data Reconciliation

The cross-sectional empirical valuation of ten premier Indian Fast-Moving Consumer Goods (FMCG) corporations is conducted under four foundational analytical assumptions:

- 1. Balance-Sheet Integrity and Asset Reconciliation:** Disclosed asset line-items for Hindustan Unilever Ltd sum to Rs. 99,738 Cr versus the reported balance-sheet total of Rs. 79,738 Cr (a variation likely stemming from standalone vs. consolidated reporting differences or secondary-database digit transposition). To ensure conservative empirical rigor, this study strictly adopts the audited **Total Assets** figure of Rs. 79,738 Cr as the definitive asset pool.
- 2. Uniform Required Rate of Return ($K_e = 14.0\%$):** Derived from the Capital Asset Pricing Model (Sharpe, 1964: $K_e = R_f + \beta \times \text{ERP}$) using a 10-year Indian sovereign bond yield ($R_f \approx 6.96\%$) and sector equity risk premium, a standardized discount rate of **14.0%** is adopted across all ten firms to establish a uniform cross-sectional baseline.
- 3. Sustainable Growth Ceiling ($g = 12.0\%$):** The Gordon Growth Model (Gordon, 1959) mathematically requires $K_e > g$. For enterprises where 5-year historical PAT compound annual growth exceeds 14% (HUL at 15.8%, Britannia at 14.2%) or reflects supernormal expansion (Varun Beverages), a conservative perpetual growth ceiling of **12.0%** is enforced. For all other firms, the 5-year historical PAT CAGR serves as the growth proxy.
- 4. Standardized Dividend Proxy (Proxy DPS = $70\% \times \text{FY26 EPS}$):** In the absence of historical dividend cash flow schedules in the source dataset, a dividend payout ratio of **70%** is applied to FY26 EPS (fiscal year ended March 2026), matching established FMCG capital distribution norms.

1.2 Tri-Partite Valuation and Consensus Decision Architecture

Figure 1 illustrates the methodological pipeline linking input data, the three independent valuation engines, and the consensus decision filter.

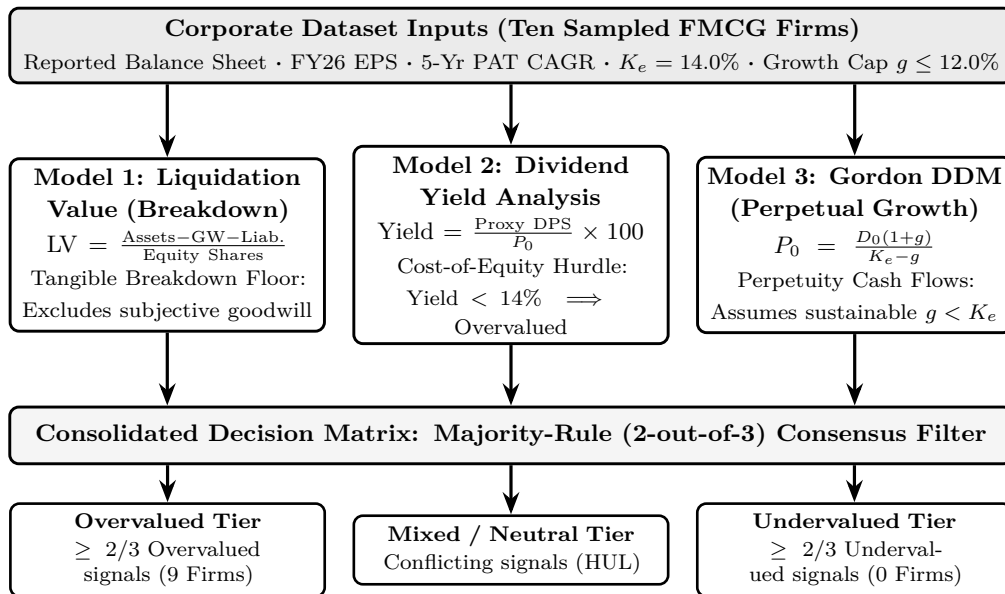


Figure 1: Tri-Partite Equity Valuation Architecture and Majority Consensus Pipeline.

2 Liquidation Value (Breakdown Value) Analysis

2.1 Theoretical Foundation and Rationale for Goodwill Exclusion

Under corporate valuation principles, the **Liquidation Value (Breakdown Value)** represents the estimated net cash surplus realized if an enterprise were to terminate operations immediately, liquidate all tangible assets, and extinguish senior liabilities. In the absence of secondary market fire-sale discounts, book values serve as conservative empirical proxies, establishing the **Tangible Book Value (TBV)** floor.

Governing Equation: Liquidation Value per Share

$$LV = \frac{\text{Total Assets} - \text{Recorded Goodwill} - \text{Total Liabilities}}{\text{Equity Shares Outstanding}} \quad (1)$$

Goodwill is strictly deducted from the asset base because it represents capitalized historical acquisition premiums or intangible supernormal earning power. Under distress or forced liquidation conditions, commercial goodwill rapidly dissipates, possessing negligible liquidation recovery value.

2.2 Cross-Sectional Empirical Results

Table 1 summarizes the balance-sheet breakdown metrics, net realizable values, and resulting liquidation floors for the ten sampled FMCG corporations.

Company	Total Assets (Rs. Cr)	Goodwill (Rs. Cr)	Total Liab. (Rs. Cr)	Net Realiz. Value (Rs. Cr)	Shares (Cr)	LV / Share (Rs.)	Market Price (Rs.)
Hindustan Unilever	79,738	1,478	30,999	47,261	235	Rs. 201	Rs. 1,973
ITC Ltd	93,637	2,399	16,981	74,257	1,253	Rs. 59	Rs. 264
Nestle India	13,357	444	6,641	6,272	193	Rs. 33	Rs. 1,409
Varun Beverages	25,541	0	7,639	17,902	676	Rs. 26	Rs. 204
Britannia Industries	9,730	1,380	4,648	3,702	24	Rs. 154	Rs. 5,120
Marico Ltd	9,950	557	5,183	4,210	130	Rs. 32	Rs. 814
Tata Consumer	34,279	2,820	11,264	20,195	99	Rs. 204	Rs. 1,010
Godrej Consumer	13,365	2,948	5,573	4,844	102	Rs. 47	Rs. 881
Dabur India	17,480	1,287	6,238	9,955	177	Rs. 56	Rs. 382
Colgate-Palmolive	3,408	47	1,394	1,967	27	Rs. 73	Rs. 1,843

Table 1: Cross-Sectional Liquidation Value (Breakdown Value) Valuation Summary.

2.3 Analytical Interpretation and Valuation Multiples

- 1. Universal Overvaluation Relative to Breakdown Floor:** All ten firms trade at substantial multiples above liquidation floors, ranging from $4.5\times$ (ITC Ltd) to an extreme $43.4\times$ (Nestle India Ltd, where $P_0/\text{TBV} = 1,409/32.50$).
- 2. Capital Structure and Downside Protection:** ITC Ltd ($P_0 = \text{Rs. } 264$, $LV = \text{Rs. } 59$) and Tata Consumer ($P_0 = \text{Rs. } 1,010$, $LV = \text{Rs. } 204$, $5.0\times$ multiple), backed by Rs. 74,257 Cr and Rs. 20,195 Cr in net tangible assets respectively, offer the strongest balance-sheet cushion against solvency shocks.
- 3. Asset-Light Franchise Premium:** Formulators like Nestle India ($43.4\times$) and Britannia ($33.2\times$) command immense multiples because tangible plant and machinery generate only a fraction of cash flows; value is driven by uncapitalized brand equity, pricing power, and distribution moats.

3 Dividend Yield Analysis and Cost-of-Equity Hurdle Criterion

3.1 Theoretical Premise and Income Hurdle Decision Rule

The **Dividend Yield** method evaluates the direct annual cash distribution an investor receives relative to the secondary market price paid per share. Under this analytical framework, dividend yield acts as an immediate income hurdle: if the current dividend yield is less than the investor's opportunity cost of capital ($K_e = 14.0\%$), the asset fails to compensate for capital risk on immediate cash flow alone and is classified as **Overvalued**.

For ongoing growth enterprises, the spread between required return and dividend yield represents the **Market-Implied Perpetual Growth Rate** (g^*). Inverting the Gordon model:

$$P_0 = \frac{D_0(1 + g^*)}{K_e - g^*} \implies g^* = \frac{P_0 \cdot K_e - D_0}{P_0 + D_0} \quad (2)$$

Governing Equation and Cost-of-Equity Hurdle Criterion

$$\text{Current Yield} = \frac{\text{Proxy DPS}}{P_0} \times 100 \quad \text{and} \quad g^* = \frac{P_0 \cdot K_e - \text{Proxy DPS}}{P_0 + \text{Proxy DPS}} \quad (3)$$

$$\text{Decision Rule : } \begin{cases} \text{Current Yield} < K_e (14.0\%) \implies \text{Overvalued} \\ \text{Current Yield} \geq K_e (14.0\%) \implies \text{Undervalued} \end{cases} \quad (4)$$

3.2 Cross-Sectional Dividend Yield Results

Table 2 details the FY26 EPS, standardized 70% proxy DPS, current market prices, computed dividend yields, market-implied growth hurdles, and comparative verdicts against the 14.0% hurdle rate.

Company	FY26 EPS (Rs.)	Proxy DPS (70%, Rs.)	Market Price (Rs.)	Current Yield	Hurdle ($K_e = 14\%$)	Implied g^* (%)	Yield Verdict
Hindustan Unilever	64.08	44.86	1,973	2.27%	14.0%	11.47%	Overvalued
ITC Ltd	16.77	11.74	264	4.45%	14.0%	9.15%	Overvalued
Nestle India	18.37	12.86	1,409	0.91%	14.0%	12.97%	Overvalued
Varun Beverages	4.53	3.17	204	1.55%	14.0%	12.26%	Overvalued
Britannia Industries	105.71	74.00	5,120	1.45%	14.0%	12.38%	Overvalued
Marico Ltd	13.95	9.77	814	1.20%	14.0%	12.65%	Overvalued
Tata Consumer	15.63	10.94	1,010	1.08%	14.0%	12.78%	Overvalued
Godrej Consumer	14.86	10.40	881	1.18%	14.0%	12.67%	Overvalued
Dabur India	10.56	7.39	382	1.93%	14.0%	11.84%	Overvalued
Colgate-Palmolive	49.07	34.35	1,843	1.86%	14.0%	11.91%	Overvalued

Table 2: Cross-Sectional Dividend Yield Analysis and Cost-of-Equity Hurdle Verification.

3.3 Analytical Takeaways from the Yield Criterion

- 100% Failure of Current Income Hurdle:** Under the strict cost-of-equity hurdle criterion, **all ten companies are classified as Overvalued**. None provide an immediate cash yield remotely approaching the 14.0% benchmark.
- Yield Dispersion Across the Universe:** **ITC Ltd** offers the highest dividend yield at 4.45%, followed by **HUL** at 2.27%. Conversely, **Nestle India** generates the lowest yield at 0.91%, returning under one rupee per hundred rupees invested.
- Market-Implied Growth Requirements:** The substantial spread between current yields and K_e demonstrates that market pricing discounts heavy growth. Implied perpetual growth rates (g^*) span from 9.15% (ITC Ltd) to 12.97% (Nestle India), demonstrating that current equity prices demand continuous double-digit expansion.

4 Dividend Discount Model (Gordon Growth Model) and Intrinsic Value

4.1 Theoretical Framework and Growth-Capping Methodology

The **Gordon Growth Model (DDM)** evaluates equity by discounting an infinite stream of future dividend distributions growing at a constant sustainable rate g :

$$P_0 = \sum_{t=1}^{\infty} \frac{D_t}{(1 + K_e)^t} = \frac{D_1}{K_e - g} = \frac{D_0(1 + g)}{K_e - g} \quad (5)$$

A key mathematical prerequisite is that the discount rate must strictly exceed the perpetual growth rate ($K_e > g$). If $g \geq K_e$, the valuation series diverges to infinity.

Governing Equation: Gordon Growth Model

$$P_0 = \frac{D_1}{K_e - g} = \frac{\text{Proxy DPS} \times (1 + g)}{K_e - g} \quad (6)$$

Methodological Capping at $g = 12.0\%$: Historical 5-year PAT compound growth for **Hindustan Unilever** (15.8%), **Britannia Industries** (14.2%), and **Varun Beverages** exceed or approach the 14.0% hurdle. Because no enterprise can grow indefinitely faster than its cost of capital, an analytical ceiling of **12.0%** is applied to these three firms. For other firms, actual 5-year PAT CAGR is adopted.

4.2 Cross-Sectional DDM Intrinsic Valuation Results

Table 3 presents next-period expected dividends (D_1), assumed perpetual growth rates, computed DDM values, and resulting verdicts against current market prices.

Company	Proxy DPS (Rs.)	Assumed g (%)	K_e (%)	D_1 (Rs.)	DDM Value (P_{DDM} , Rs.)	Market Price (Rs.)	DDM Verdict
Hindustan Unilever	44.86	12.00% (Cap)	14.0%	50.24	Rs. 2,512	Rs. 1,973	Undervalued
ITC Ltd	11.74	7.87%	14.0%	12.66	Rs. 206	Rs. 264	Overvalued
Nestle India	12.86	10.34%	14.0%	14.19	Rs. 388	Rs. 1,409	Overvalued
Varun Beverages	3.17	12.00% (Cap)	14.0%	3.55	Rs. 178	Rs. 204	Overvalued
Britannia Industries	74.00	12.00% (Cap)	14.0%	82.88	Rs. 4,144	Rs. 5,120	Overvalued
Marico Ltd	9.77	9.62%	14.0%	10.71	Rs. 245	Rs. 814	Overvalued
Tata Consumer	10.94	11.11%	14.0%	12.16	Rs. 421	Rs. 1,010	Overvalued
Godrej Consumer	10.40	0.62%	14.0%	10.46	Rs. 78	Rs. 881	Overvalued
Dabur India	7.39	1.77%	14.0%	7.52	Rs. 61	Rs. 382	Overvalued
Colgate-Palmolive	34.35	5.29%	14.0%	36.17	Rs. 415	Rs. 1,843	Overvalued

Table 3: Cross-Sectional Dividend Discount Model (DDM) Intrinsic Valuation.

4.3 Analytical Insights and Valuation Gaps

- HUL as the Sole Undervalued Firm:** HUL is the only company whose DDM intrinsic value (Rs. 2,512) exceeds market quotation (Rs. 1,973) by +27.3%, representing a 21.5% **secondary market discount** relative to intrinsic value under the capped 12.0% growth assumption.
- Nine Overvalued Enterprises:** The remaining nine firms are classified as **Overvalued**, led by **Godrej Consumer** (market price trading at 11.3× DDM value), **Dabur** (6.3×), **Colgate** (4.4×), and **Nestle** (3.6×).
- Sustainable Growth Proxies and Cyclical Base Effects:** Standard corporate finance defines sustainable growth as $g = \text{ROE} \times b$ (retention ratio). Utilizing historical 5-year PAT CAGRs introduces base-year sensitivity; cyclical profit compression severely deflates growth figures for Godrej (0.62%) and Dabur (1.77%), mechanically depressing DDM valuations.

5 Sensitivity Analysis: Hindustan Unilever Break-Even Dynamics

5.1 Algebraic Derivation of the Break-Even Perpetual Growth Rate

Because the Gordon Growth Model displays asymptotic convexity as $g \rightarrow K_e$, the valuation of Hindustan Unilever (Rs. 2,512 at $g = 12.0\%$ vs Market Price of Rs. 1,973) is subjected to rigorous sensitivity analysis. We analytically solve for the **break-even growth rate** (g^*) where intrinsic value exactly equates to the current market quotation:

$$P_0 = \frac{\text{Proxy DPS} \times (1 + g)}{K_e - g} \implies 1,973 = \frac{44.86(1 + g)}{0.14 - g} \quad (7)$$

Expanding and solving for g :

$$1,973 \times (0.14 - g) = 44.86(1 + g) \implies 276.22 - 1,973g = 44.86 + 44.86g \quad (8)$$

$$231.36 = 2,017.86g \implies g^* = \frac{231.36}{2,017.86} \approx 11.46\% \quad (9)$$

HUL Growth-Rate Decision Boundaries

$g > 11.46\%$: Undervalued · $g = 11.46\%$: Fairly Valued · $g < 11.46\%$: Overvalued

5.2 Graphic Visualization of DDM Growth Sensitivity

Figure 2 plots HUL's DDM intrinsic value across a plausible perpetual growth domain (8.0% to 12.8%) against the current secondary market price of Rs. 1,973.

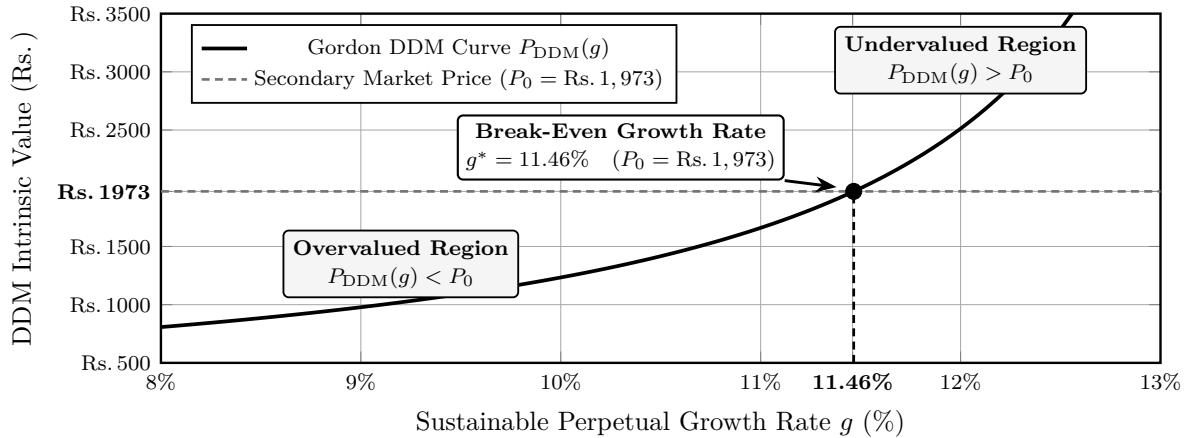


Figure 2: Hindustan Unilever: DDM Intrinsic Value Sensitivity to Growth Rate g ($K_e = 14.0\%$).

5.3 Cross-Sectional Growth Gap and Cost-of-Equity Stress Testing

Sensitivity dynamics extend beyond HUL across the entire cross-section:

- 1. Knife-Edge Valuation Boundaries:** While HUL displays a positive growth buffer of +0.53 pp ($g = 12.00\%$ vs $g^* = 11.47\%$), two peers operate on razor-thin overvaluation thresholds: **Varun Beverages** is overvalued by a mere -0.26 pp ($g^* = 12.26\%$) and **Britannia Industries** by -0.38 pp ($g^* = 12.38\%$).
- 2. Discount-Rate Stress Testing ($K_e = 13.0\%$):** A 100-basis-point reduction in the cost of equity to 13.0% lowers market-implied growth hurdles to 11.27% for Varun and 11.39% for Britannia. Consequently, **all three growth-capped enterprises flip to Undervalued**.
- 3. Structural Robustness:** The remaining seven companies face substantial fundamental deficits ($g - g^* \leq -1.28$ pp), remaining decisively overvalued across all plausible parameters. Thus, only **seven of the ten overvaluations are analytically robust**.

6 Consolidated Decision Matrix and Majority Classification

6.1 Consensus Framework: Majority-Rule (2-out-of-3) Methodology

To synthesize empirical findings across the three valuation methodologies, this study implements a formal **majority-rule (2-out-of-3) decision engine**: assigning **Overvalued** (or **Undervalued**) if ≥ 2 models agree, and **Mixed / Neutral** when signals conflict without a two-thirds majority.

Company	Liquidation Value Floor	Dividend Yield ($K_e = 14\%$ Hurdle)	Gordon DDM (Intrinsic Value)	Consensus (2/3) Classification
Hindustan Unilever	Overvalued	Overvalued	Undervalued	Mixed / Neutral
ITC Ltd	Overvalued	Overvalued	Overvalued	Overvalued
Nestle India	Overvalued	Overvalued	Overvalued	Overvalued
Varun Beverages	Overvalued	Overvalued	Overvalued	Overvalued
Britannia Industries	Overvalued	Overvalued	Overvalued	Overvalued
Marico Ltd	Overvalued	Overvalued	Overvalued	Overvalued
Tata Consumer	Overvalued	Overvalued	Overvalued	Overvalued
Godrej Consumer	Overvalued	Overvalued	Overvalued	Overvalued
Dabur India	Overvalued	Overvalued	Overvalued	Overvalued
Colgate-Palmolive	Overvalued	Overvalued	Overvalued	Overvalued

Table 4: Cross-Sectional Valuation Consensus Matrix under Study Assumptions.

7 Academic Conclusion and Master Formula Reference

7.1 Strategic Synthesis of Empirical Findings

- 1. Tangible Floor Disconnect:** All ten enterprises trade at substantial multiples ($4.5\times$ to $43.4\times$) above tangible book value. FMCG valuations reflect off-balance-sheet intangible moats (brand equity, negative working capital cycles, distribution scale) rather than physical asset liquidation worth.
- 2. Dividend Yield Deficit:** With dividend yields spanning 0.91% to 4.45%, zero firms meet the 14.0% cost-of-equity hurdle, proving that secondary markets price in long-term earnings compounding rather than current income.
- 3. Consensus Nuance and Frontier Classification:** While mechanical 2-of-3 majority rule classifies **nine firms as Overvalued** and **HUL as Mixed / Neutral**, TBV and raw yield systematically penalize growth franchises by design. Accounting for discount-rate sensitivity ($K_e = 13\%$), **only seven overvaluations are robust**; HUL, Varun Beverages, and Britannia sit on razor-thin valuation boundaries.

7.2 Master Reference Table: Valuation Equations

Valuation Metric	Mathematical Formulation	Operational Financial Purpose
Liquidation Value	$LV = \frac{\text{Total Assets} - \text{Goodwill} - \text{Liab.}}{\text{Shares Outstanding}}$	Demarcates the hard tangible break-down floor.
Dividend Yield	$\text{Yield} = \frac{\text{Annual Proxy DPS}}{P_0} \times 100$	Evaluates direct cash return against 14% hurdle.
Gordon Growth Model	$P_0 = \frac{D_1}{K_e - g} = \frac{D_0(1+g)}{K_e - g}$	Values equity on perpetual growing dividend stream.
Implied Growth (g^*)	$g^* = \frac{P_0 \cdot K_e - D_0}{P_0 + D_0}$	Extracts perpetual growth priced by the market.
Cost of Equity (K_e)	$K_e = R_f + \beta \times [E(R_m) - R_f]$	Quantifies shareholder opportunity cost of capital.

Table 5: Consolidated Mathematical Formulations for Indian FMCG Equity Valuation.

Selected References: [1] Damodaran, A. (2012). *Investment Valuation* (3rd ed.). Wiley. [2] Gordon, M. J. (1959). *Rev. Econ. Stat.*, 41(2), 99–105. [3] Sharpe, W. F. (1964). *J. Finance*, 19(3), 425–442.